AUDIT BRIEF · Arkansas (AR)

Before auditing paid factory-warranty claims
Verified 2026-10-23 (statutes) · Built 2026-10-23 · AR-audit-brief-2026-10-23

Covers: Factory warranty and recall claims; recall-remedy and stop-sale claims under § 23-112-319 (same limits); incentive and reimbursement programs (12 months from the transaction date). **3 items need legal review (section 5).**

1. Audit eligibility

Which claims and programs can be audited, how far back, and from what date.

Audit window. One year from the date the claim was paid or credit issued (warranty and recall claims). § 23-112-313(e)(4)(A)(ii)

Window trigger for incentive and reimbursement programs. Incentive and other reimbursement programs: 12 months from the date of the transactions, not from payment. § 23-112-313(e)(4)(B)

Post-window exception (fraud). Fraud only: a chargeback is allowed if the manufacturer establishes fraud in an Arkansas court, within two years of the claim date. Whether the two years bounds the court finding or the chargeback is not stated. **[Legal review]** § 23-112-313(e)(4)(C)

Deadline to take the chargeback. Not stated; the year is written as the audit period, and a pending Commission appeal can push the levy past it. Conservative: audit and notify within the year. **[Legal review]** § 23-112-313(e)(4)(A)(ii)-(iii), (e)(4)(D)(ii)

3. Testing and findings

Chargeback grounds, documentation limits, clerical errors, sampling and extrapolation, proof, recovery scope.

Grounds to charge back a paid claim. Only 'false or unsubstantiated' claims. 'Unsubstantiated' isn't defined; read with the documentation right, a paid claim the dealer can't support is the natural case. § 23-112-313(e)(4)(A)(iii)

Grounds to deny an unpaid claim. No list. Pay for warranty work properly performed per the manufacturer's requirements; no disapproval for a clerical error that doesn't change the amount; written disapproval with specific grounds within 30 days or deemed approved. § 23-112-310(d)(3)

Proof and documentation. The manufacturer may require documentation for claims (no stated limit); no standard of proof for 'false or unsubstantiated'; fraud must be established in court. § 23-112-313(e)(4)(A)(i)

Clerical error (disapproval rule). No DISAPPROVAL for a clerical error that doesn't change the amount (including prior-approval errors). Whether such a paid claim can later be charged back as 'unsubstantiated' is unresolved. § 23-112-313(e)(3)(A)

4. Chargeback process

Written reasons, dealer response and cure, internal appeal, stay during a dispute, timing of the chargeback.

Written reasons. Required for disapprovals (specific grounds within 30 days). For chargebacks the statute says only 'notification', which starts the dealer's 90-day appeal clock: give dated written notice with reasons. § 23-112-313(e)(2)(A)(i)

Cure and resubmission. Disapproved unpaid claims: correct and resubmit within 30 days. No cure right after a chargeback; the dealer's route is the Commission appeal. § 23-112-313(e)(2)(A)(ii)

Manufacturer internal appeal. Not required; the statute assumes one may exist for disapprovals. § 23-112-313(e)(3)(B)

Stay while the Commission appeal is pending. Once the dealer appeals to the Arkansas Motor Vehicle Commission, the chargeback may not be levied until the appeal is resolved; hearing within 120 days unless the parties agree to settle. § 23-112-313(e)(4)(D)(i)-(ii)

Minimum wait after chargeback notice. No minimum wait stated. The dealer has 90 days from notification to appeal; conservative practice is to hold the levy until that window closes or the appeal is resolved. **[Legal review]** § 23-112-313(e)(4)(D)(i)-(ii)

5. Exceptions and escalation

Unusual state rules, legal-review flags, penalties and where the dealer protests.

Recall-remedy and stop-sale reimbursement claims take the § 313 limits. Recall-remedy and stop-sale reimbursement claims under § 23-112-319 take the same audit window, grounds, fraud route, appeal and stay. § 23-112-319(d)(1)

No chargeback or incentive reduction because a § 319 recall claim was filed. No chargeback, incentive removal or incentive reduction because a dealer filed a § 319 recall claim, unless applied uniformly to all same-line dealers in the state. § 23-112-319(c)(1)(A)-(C), (c)(2)

Fraud carve-out is written for 'the manufacturer' only. The fraud carve-out names only 'the manufacturer'; the audit right names 'the manufacturer or franchiser'. A distributor acting as franchiser needs legal review before using the two-year fraud route. **[Legal review]** § 23-112-313(e)(4)(A), (C), (D)(i)

LEGAL REVIEW REQUIRED — Fraud chargebacks outside the one-year window

§ 23-112-313(e)(4)(C) allows a fraud chargeback on a court finding 'within a period not to exceed two (2) years from the date of the claim' without saying whether the two years bounds the finding or the chargeback, and names only 'the manufacturer' where the audit right names 'the manufacturer or franchiser'.

Action: Obtain legal interpretation before relying on (e)(4)(C), especially as a distributor-franchiser; until then, obtain the court finding and take the chargeback within two years of the claim date. § 23-112-313(e)(4)(A), (C), (D)(i)

LEGAL REVIEW REQUIRED — Timing of the chargeback levy

The one-year period is written as the audit period and no deadline is stated for levying the chargeback; the statute also does not say whether a levy made inside the dealer's 90-day appeal window must be reversed if an appeal is then filed.

Action: Obtain legal interpretation before levying a chargeback after the one-year (or 12-month incentive) period or inside the 90-day appeal window; until then, notify within the window and hold the levy until the appeal window closes or the appeal is resolved. § 23-112-313(e)(4)(A)(ii)-(iii), (e)(4)(D)(i)-(ii)

LEGAL REVIEW REQUIRED — Clerical errors on paid claims

§ 23-112-313(e)(3)(A) bars disapproving a claim for a clerical error that does not change the amount, but the chargeback ground in (e)(4)(A)(iii) ('false or unsubstantiated') does not cross-reference it, so whether such a paid claim can be charged back is open.

Action: Obtain legal interpretation before charging back a paid claim for a clerical or prior-approval error that does not change the claim amount. § 23-112-313(e)(3)(A), (e)(4)(A)(iii)

If done wrong. An improper audit or chargeback exposes the manufacturer or distributor to a dealer's action for reasonable damages and attorney's fees for a willful failure to comply (§ 23-112-105(a)-(b)), and to Commission denial, suspension or revocation of its license for unfairly failing to fulfill a warranty agreement or fairly compensate dealers (§ 23-112-308(a)(18)(A)), or a penalty in lieu of up to $10,000 (revocation) or $50-$500 per day capped at $5,000 (suspension), each instance a separate violation (§ 23-112-309).

Where the dealer protests. Appeal to the Arkansas Motor Vehicle Commission within 90 days of notification of the chargeback; the chargeback may not be levied while the appeal is pending; hearing within 120 days of filing unless all parties agree to settle; procedure under § 23-112-501 et seq., with further appeal under the Arkansas Administrative Procedure Act Ark. Code Ann. § 23-112-313(e)(4)(D)(i)-(iii); § 23-112-506

Not expressly addressed in the reviewed statutes (verified 2026-10-23): audit frequency cap; advance audit notice; selection basis disclosure; audit basis (reasonable / non-retaliatory / not tied to a rate request); recovery scope (whole claim vs. unsupported portion); limits on claim documentation; extrapolation / sampling; dealer rebuttal period before a chargeback; reopening on new information; written reasons for a chargeback.

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